Procurement and payment policy

Approved by the Board on 15/01/2026

1. Purpose and scope

This policy defines how goods and services are ordered, received, invoiced and paid by Azur Marine Services S.A.M. It applies to all purchases made for the office and for the vessels under management, whatever the amount. It does not apply to payroll, social contributions and taxes.

1.1 Definitions

Purchase order (PO): the written commitment issued by the company to a supplier, numbered PO-YYYY-NNNN and approved according to section 3. Delivery note: the supplier's document accompanying goods, signed on board on receipt. Service report: the document recording works performed on board, signed by the Master or the Chief Engineer. Supplier master file: the reference list of suppliers, their VAT numbers, bank details, payment terms and PO requirement, maintained by Finance.

Net amount: amount excluding VAT. Deposit: a payment made before delivery or invoicing under an express clause of a signed PO or contract.

1.2 Roles and responsibilities

Requesters (Masters, Chief Engineers, Operations) express the need and check receipt. The Operations Manager raises purchase orders and approves within his limit. The Finance Director approves within her limit, validates every payment run and owns the supplier master file. The Chief Executive Officer approves commitments above the Finance Director's limit.

Accounts Payable books invoices only after the controls of section 5 and prepares payment runs; it may not modify supplier bank details without the confirmation described in section 6. Segregation of duties is mandatory: the person who enters a payment cannot approve it.

2. Purchase orders

A purchase order (PO) approved in accordance with section 3 must be issued before any commitment towards a supplier flagged "PO required = Yes" in the supplier master file. Recurring services under a framework contract (berths, telecommunications, insurance, IT managed services, cleaning, provisions, crew agency) are exempt.

In an emergency affecting the safety of a vessel, the Master may authorise work verbally; a regularisation PO must then be issued within 2 working days.

3. Approval matrix

The approver is determined by the net amount (excluding VAT) of the PO. A higher level may always approve a lower amount.

Net amount of the PO (EUR)	Required approver	Current holder
up to 5,000.00	Operations Manager	Thomas Rinaldi
5,000.01 to 20,000.00	Finance Director	Claire Martin
above 20,000.00	Chief Executive Officer	Philippe Andrieu

4. Receipt of goods and services

Goods are received against a delivery note signed on board; services against a service report signed by the Master or the Chief Engineer. Partial deliveries must be recorded with the quantities actually received.

5. Invoice control (three-way match)

Before booking, each invoice is matched with the PO and the delivery note or service report. Quantities invoiced may not exceed quantities received. Prices may not exceed PO prices. VAT must be arithmetically correct and the invoice must carry the mandatory mentions.

Any difference is put on hold and notified to the supplier in writing.

6. Payments

Payments are made on or shortly before the due date. Payments before receipt of the invoice or of the goods are only allowed when a deposit or prepayment is expressly provided for in a signed PO or contract.

Any change of supplier bank details must be confirmed by a call-back to the telephone number recorded in the supplier master file, by a person other than the requester, before the next payment.

7. Period-end cut-off

Invoices received after the closing date that relate to goods or services delivered during the period are accrued. Goods or services received without an invoice are accrued at the PO price.

8. Supplier master data

New suppliers are created only after the onboarding checks (registration extract, VAT number checked on VIES, bank identity statement on the supplier's letterhead, call-back). The master file records for each supplier whether a PO is required.

Inactive suppliers are blocked after 24 months without transactions.

9. Emergency purchases

Emergency purchases made on the Master's verbal authorisation (section 2) must be documented by an e-mail from the Master on the same day and regularised by a PO within 2 working days. The supplier's invoice is not paid before regularisation.

10. Records

Purchase orders, delivery notes, service reports, invoices and payment evidence are kept for 10 years in the document management system, one document per file, with their e-mails.

11. Breaches

Any breach of this policy is reported to the Finance Director, who informs the CEO and, for amounts above EUR 20,000.00, the Board.

Annex A – Invoice checklist

Check	Source	Owner
PO exists and is approved	PO / supplier master file	Accounts Payable
Goods or services received	Delivery note / service report	Accounts Payable
Quantities and prices	PO and delivery note	Accounts Payable
VAT arithmetic and mentions	Invoice	Accounts Payable
Not already booked	Purchase journal	Accounts Payable

Check	Source	Owner
Bank details	Supplier master file	Finance Director

Annex B – Document retention

Document	Retention
Purchase orders, invoices, credit notes	10 years
Delivery notes, service reports	10 years
Bank statements and payment notices	10 years
Supplier correspondence	5 years